

Enterprise Governance & Risk Framework

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Enterprise Governance & Risk Framework

CHAPTER 17

Loan Policy Exceptions & Decision Simulation Handbook

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Distribution List

This chapter is distributed to the following functions upon ratification: Retail and Consumer Underwriting, Credit Risk Management, Model and Decision Governance, Collections and Recovery, Relationship Management, Internal Audit, Compliance, and Branch Credit Officers. Distribution outside these functions requires prior clearance from the Enterprise Credit Policy & Underwriting Standards unit.

Relationship to Other EGRF Chapters

This chapter is issued as part of the Enterprise Governance & Risk Framework (EGRF) and is to be read together with, and does not supersede, the following prior chapters:

- **Chapters 1-4** — Enterprise credit philosophy, governance structure, and the roles of the Credit Risk Policy Committee, the Underwriting Standards Sub-Committee, and delegated credit authorities.
- **Chapters 5-9** — Borrower characteristics, income verification standards, credit bureau data usage, and the construction and maintenance of internal credit grades and sub-grades.
- **Chapters 10-13** — Underwriting decision rules, automated decision thresholds, referral triggers, and adverse action procedures.
- **Chapters 14-16** — Portfolio monitoring, concentration limits, and post-disbursement review standards.

Where a prior chapter establishes a defined term, threshold, or committee authority, this chapter uses that definition without restating it in full. Where this chapter appears to conflict with an earlier chapter, the more restrictive provision governs until the conflict is resolved by the Credit Risk Policy Committee.

17. Loan Policy Exceptions & Decision Simulation Handbook

17.1 Introduction

17.1.1 Purpose and Scope

Chapters 5 through 13 of the EGRF describe the borrower characteristics the Bank collects and the decision rules Underwriting applies to those characteristics at a single point in time. This chapter addresses a different, and equally important, question: **how does a lending decision move when the underlying facts of an application change?**

In ordinary course, an application is not always decided once and closed. Applicants request reconsideration after paying down a balance. Underwriters ask a borrower to reduce a requested loan amount so that a marginal file can be approved. Relationship Managers ask what a borrower would need to do to qualify for a better rate. Credit Risk asks how a proposed change to a policy threshold would have altered last quarter's decisions. Each of these is an exercise in **decision sensitivity** — determining how much a decision, a pricing tier, or an approval condition shifts in response to a defined change in one or more borrower characteristics.

This chapter exists to give every function that performs this kind of reassessment a common, documented, and auditable basis for doing so. It is not a restatement of underwriting policy; it assumes the reader is already familiar with the decision rules in Chapters 10–13 and the grading methodology in Chapters 7–9. Its purpose is to describe, for each major borrower characteristic, the direction and approximate magnitude of its influence on lending outcomes, and to provide a structured library of improvement and deterioration scenarios that Underwriting, Relationship Management, and Credit Risk may reference when performing reassessment, coaching a borrower, or evaluating a policy exception.

This chapter applies to all consumer and small-business lending products originated under the Bank's retail credit authority, including installment loans, lines of credit, and consumer term loans. It does not apply to commercial and corporate credit facilities, which are addressed under the Wholesale Credit Policy Manual.

17.1.2 Why the Bank Reassesses Applications

An initial underwriting decision reflects the facts on file at the moment of submission. Those facts are frequently incomplete, temporarily unfavorable, or capable of correction within a short period. The Bank reassesses applications, either at the applicant's request or on Underwriting's own initiative, for the following recurring reasons:

1. **New or corrected information becomes available.** A pay stub is submitted after initial decline for unverifiable income; a bureau file is updated to remove a paid collection; a co-applicant is added.
2. **The applicant modifies the request.** A requested loan amount is reduced; a shorter

term is selected; a different repayment structure is proposed.

3. **Time passes and circumstances change.** Utilization drops after a stated pay-down; a probationary employment period ends; a delinquency ages past a policy look-back window.
4. **The Bank tests the sensitivity of its own thresholds.** Credit Risk periodically evaluates how a change to a policy cut-off (for example, a Debt-to-Income ceiling) would affect approval volume and expected loss, as described in Section 17.2.
5. **An exception is under consideration.** A file that fails a specific policy rule is otherwise strong enough that Underwriting or a delegated approver considers whether an exception, as defined in Section 17.5, is warranted.

Reassessment is a control activity, not a workaround. Every reassessment must be documented in the loan origination system with the specific characteristic that changed, the source of the change, and the resulting decision, so that Internal Audit and Credit Risk can reconstruct the basis for any approval that differs from the original decision.

17.1.3 Policy Exceptions Defined

A **policy exception** is a lending decision that departs from the standard decision rules set out in Chapters 10-13 because a delegated approver has determined that compensating factors sufficiently offset the risk indicated by the rule that would otherwise apply. An exception is not a waiver of policy; it is a documented use of delegated judgment operating within the boundaries the Credit Risk Policy Committee has established for that judgment. Section 17.5 sets out the categories of compensating factor the Bank recognizes, the authority levels required to approve an exception, and the conditions that must attach to an exception approval.

17.1.4 Conditional Approvals

A **conditional approval** is a decision in which the Bank has determined that the application will be approved upon satisfaction of one or more stated conditions, without a change in the substantive risk profile of the applicant. Common conditions include verification of income already claimed, receipt of a final pay stub confirming the end of a probationary employment period, or confirmation that a specific revolving balance has been paid down to a stated level. A conditional approval is distinct from a policy exception: in a conditional approval the applicant already meets policy once the condition is satisfied; in an exception, the applicant does not meet policy and a compensating factor is being relied upon instead. Underwriters must classify every non-standard approval as one or the other; the two are not interchangeable and carry different documentation and authority requirements.

17.1.5 Risk Improvement and Borrower Rehabilitation

Some reassessments arise because an applicant who was previously declined has taken deliberate steps to improve their credit standing and reapplies some months later. The Bank refers to this as **borrower rehabilitation**. Sections 17.3 and 17.4 of this chapter describe, characteristic by characteristic, what a meaningful improvement looks like and how it is expected to move a decision. Relationship Managers and branch credit staff may

use this material to advise a declined applicant on which specific changes are most likely to affect a future decision; staff must not represent that any specific improvement guarantees approval, since a lending decision reflects the complete file rather than any single characteristic considered in isolation.

17.1.6 Manual Reassessment Procedures

Where an applicant requests reassessment on the basis of a changed characteristic, staff must follow the procedure below:

1. Confirm the applicant's request in writing (email, secure message, or branch note) and identify the specific characteristic(s) said to have changed.
2. Obtain current supporting documentation for the changed characteristic in accordance with the verification standards in Chapter 6.
3. Re-run the full decision, not only the single changed input. A change in one characteristic can affect derived fields (for example, a lower requested loan amount changes the payment-to-income calculation), and a partial re-run is not permitted.
4. Record the prior decision, the new decision, the characteristic(s) that changed, and the source of the updated data in the reassessment log within the loan origination system.
5. Where the new decision is more favorable than the original and falls within standard policy, proceed to approval under ordinary delegated authority.
6. Where the new decision still requires departure from standard policy, route the file under the Policy Exception Framework in Section 17.5.

Reassessment requests must be completed within the service-level timeframes set out in Chapter 4. An applicant may request reassessment no more than twice within a rolling ninety-day period for the same application; further requests require Underwriting Manager approval.

17.1.7 Roles and Responsibilities

Role	Responsibility under this Chapter
Loan Underwriter	Performs decision sensitivity analysis on individual files; executes manual reassessments; recommends exceptions within delegated authority
Underwriting Manager	Approves exceptions above Underwriter authority; reviews reassessment logs for completeness; escalates unresolved sensitivity questions to Credit Risk
Relationship Manager	Communicates improvement and deterioration scenarios to applicants; may not independently approve, decline, or promise a specific outcome
Credit Risk Management	Maintains the sensitivity bands and thresholds referenced in Section 17.2; reviews exception volume and outcomes quarterly
Credit Risk Policy Committee	Approves this chapter and any amendment to

sensitivity bands, exception categories, or approval authority levels

Internal Audit

Tests adherence to reassessment and exception procedures as part of the annual credit file review program

17.1.8 Relationship to Chapters 1-16

This chapter does not alter any decision rule, grading methodology, or approval authority established elsewhere in the EGRF. Where this chapter refers to a threshold (for example, a Debt-to-Income ceiling or a utilization band), the authoritative value is the one maintained in the relevant prior chapter and the current Credit Policy Rate Sheet; the illustrative figures used in this chapter are for explanatory purposes and must not be relied upon in place of the current published thresholds.

17.1.9 Training and Competency Requirements

Staff who perform manual reassessments or recommend policy exceptions must complete the Underwriting Standards Sub-Committee's sensitivity analysis training module before being granted reassessment authority in the loan origination system. The module covers the sensitivity bands in Section 17.2, the improvement and deterioration reference scenarios in Sections 17.3 and 17.4, and the documentation standards in Section 17.5.4. Completion is recorded in the enterprise learning management system and is a precondition of the system access profile associated with reassessment and exception entry. Refresher training is required annually, and immediately following any Committee-approved amendment to this chapter.

Underwriting Managers are responsible for confirming, as part of new-hire onboarding and any internal transfer into an underwriting role, that a staff member's system access reflects their current, valid training status. A staff member whose training has lapsed must have reassessment and exception entry access suspended until refresher training is completed; work performed during a lapse is subject to remediation review by the Underwriting Manager.

17.1.10 Recordkeeping and Retention

Reassessment logs and exception approval records created under this chapter are retained in accordance with the Bank's enterprise records retention schedule referenced in Chapter 4, and in no case for less than seven years following final disposition of the associated loan. Records must remain retrievable in a form that allows Internal Audit and the Credit Risk Policy Committee to reconstruct, for any given file, the characteristic that changed, the source of the supporting documentation, the resulting decision, and the identity and authority level of the approving individual. Records stored only as unstructured free-text notes, without the structured fields described in Sections 17.1.6 and 17.5.4, do not satisfy this requirement and must be supplemented at the time of creation, not retroactively at the time of an audit or examination.

17.1.11 Interaction with Applicant Communications and Adverse Action

Notices

Where an application is declined, in whole or in the form originally requested, the adverse action notice issued to the applicant must comply with the content and timing requirements set out in Chapter 13. Nothing in this chapter changes those requirements. Where a Relationship Manager or branch credit officer separately advises a declined applicant, informally and outside the adverse action notice itself, on the categories of change that are generally associated with an improved outcome, that guidance must be limited to the general, factor-level statements in Sections 17.2 through 17.4 of this chapter. Staff must not state or imply that a specific numeric change will result in approval, must not disclose the internal sensitivity bands or thresholds themselves, and must direct the applicant to the official adverse action notice as the authoritative statement of the reasons for the decision.

17.2 Decision Sensitivity

17.2.1 General Principles of Sensitivity Analysis in Underwriting

Every lending decision is the joint product of several borrower characteristics considered together; no single characteristic determines an outcome on its own. Nonetheless, experience across the Bank’s consumer lending portfolio shows that certain characteristics move a decision more reliably, and more predictably, than others. This section documents the direction (favorable or unfavorable), typical materiality (the degree to which a change in that characteristic alone tends to move a decision), and interaction effects for each of the characteristics Underwriting most commonly reconsiders.

Three principles govern the use of this section:

1. **Direction before magnitude.** Staff should first confirm that a proposed change moves a characteristic in the favorable direction before considering how large an effect to expect. Section 17.2.13 addresses characteristics whose favorable direction depends on other facts in the file.
2. **Bands, not single numbers.** Borrowers rarely move a single point at a time. This chapter therefore expresses sensitivity in bands (for example, a Debt-to-Income improvement from the 42–45% band to the 36–39% band) rather than in single-unit increments, because single-unit changes are rarely material enough to move a decision.
3. **Compounding and offsetting effects.** Two favorable changes do not simply add together, and a favorable change in one characteristic does not cancel an unfavorable change in another on a fixed exchange rate. Section 17.2.13 and Section 17.3.11 address combined scenarios.

The remainder of Section 17.2 addresses each characteristic in turn. Each subsection follows the same structure: a short description of the characteristic as used in underwriting, the direction and materiality of its influence on decisions, a sensitivity band table, and the business reasoning behind that materiality.

17.2.2 Annual Income

Annual income is used, together with monthly obligations, to compute Debt-to-Income Ratio and to size the maximum affordable payment under Chapter 6’s affordability standard. Considered in isolation from Debt-to-Income Ratio, an increase in verified annual income is favorable because it enlarges the borrower’s capacity to absorb an unanticipated expense without missing a payment. Its effect on a decision is most material where the applicant is currently marginal on Debt-to-Income Ratio or on the requested payment-to-income test, since additional income directly relaxes both tests.

Income Band Movement	Typical Effect on Debt-to-Income Ratio (fixed obligations)	Typical Decision Effect
Below \$30,000 → \$30,000–	Material reduction	May move a file from Decline to

\$45,000		Refer, or Refer to Approve at a higher sub-grade
\$45,000-\$60,000 → \$60,000-\$80,000	Moderate reduction	Frequently sufficient to clear a marginal Debt-to-Income Ratio decline on its own
\$80,000-\$100,000 → \$100,000+	Small reduction in relative terms	Rarely changes the decision alone; may support a small pricing improvement

Business reasoning: the Bank's affordability standard is expressed as a ratio, not an absolute dollar figure, so the practical effect of an income increase is almost always mediated through Debt-to-Income Ratio (Section 17.2.3). Underwriters should treat an income change as informative primarily insofar as it changes that ratio, not as an independent favorable fact.

17.2.3 Debt-to-Income Ratio (DTI)

DTI is the single most heavily weighted affordability characteristic in the Bank's consumer underwriting rules and is the characteristic most commonly the subject of a reassessment request. A reduction in DTI, whether achieved through higher verified income, a lower requested loan amount, or the pay-down of an existing obligation, is favorable and its materiality is high across nearly the entire policy range.

DTI Band Movement	Typical Decision Effect
>50% → 45-50%	Moves a file out of automatic decline territory into manual referral
45-50% → 40-45%	Frequently sufficient to move Refer to Approve at a standard sub-grade
40-45% → 36-39%	Supports approval at an improved sub-grade and modestly improved pricing
36-39% → below 36%	Supports the most favorable pricing tier available to the applicant's credit grade

Business reasoning: DTI is the most direct available proxy for repayment capacity under stress. The Bank's loss experience shows that files above the upper policy band default at multiples of the rate observed in the prime band, which is why movements across band boundaries, rather than single percentage-point changes, are what typically change a decision.

Worked calculation walkthrough. An applicant has verified monthly income of \$5,000 and existing fixed obligations (auto loan, minimum credit card payments, and a student loan installment) totaling \$1,450 per month. The requested facility would add a scheduled payment of \$650 per month. DTI is calculated as total fixed obligations, including the new facility, divided by gross monthly income: $(\$1,450 + \$650) \div \$5,000 = 42\%$. If the applicant instead pays off the auto loan (a \$310 monthly obligation) before the facility is scheduled to fund, the recalculated DTI becomes $(\$1,140 + \$650) \div \$5,000 = 35.8\%$, moving the file

from the 40–45% referral band into the sub-36% band associated with the most favorable pricing tier described in Section 17.2.3. This walkthrough illustrates why Underwriters must recalculate the full ratio rather than estimating the effect of a single obligation’s removal by inspection.

17.2.4 Interest Rate and Pricing Tier

Interest rate is ordinarily an output of the decision (a function of credit grade, sub-grade, and product) rather than an input the applicant can change directly. It becomes a sensitivity question in two circumstances: (a) an applicant asks what rate a hypothetical improved file would receive, and (b) Underwriting considers whether a rate concession, in place of a grade change, would bring the resulting payment-to-income figure within policy. A lower resulting rate is favorable to affordability because it reduces the monthly payment associated with a given loan amount and term, which in turn reduces payment-to-income and can be sufficient, on a marginal file, to bring the payment within the affordability ceiling without any other change to the application.

Rate Movement (illustrative)	Typical Effect on Monthly Payment (illustrative, \$20,000 / 60-month loan)	Typical Decision Relevance
–3 percentage points	Meaningful payment reduction	May resolve a marginal payment-to-income referral
–1 to –2 percentage points	Modest payment reduction	Rarely decisive alone; typically paired with a term or amount change

Business reasoning: because rate is downstream of grade, a rate concession considered as an exception (rather than a rate that follows automatically from an improved grade) must be justified under the Policy Exception Framework in Section 17.5 and cannot be granted solely to make a marginal file affordable.

17.2.5 Requested Loan Amount

Reducing the requested loan amount is one of the most common and most effective single changes an applicant can make, because it acts directly on both payment-to-income and, where the facility is secured, loan-to-value. Unlike income or DTI, this is a characteristic the applicant controls immediately and without third-party verification, which is why Underwriters frequently offer amount reduction as the first suggestion to a marginally declined applicant.

Loan Amount Reduction	Typical Decision Effect
25%+ reduction from original request	Frequently sufficient to move a payment-to-income decline to an approval at the same grade
10–25% reduction	May resolve a marginal referral; often paired with a term extension
Under 10% reduction	Rarely material on its own

Business reasoning: because payment is roughly proportional to principal for a fixed rate and term, a reduction in requested amount produces a proportional and predictable reduction in the monthly payment, making this the most linear and most reliably estimable sensitivity in this chapter.

17.2.6 Employment Length

Employment length is used as an indicator of income stability rather than income sufficiency. An increase in tenure with the current employer, or the conversion from probationary to permanent status, is favorable, and its materiality is concentrated at the low end of the tenure scale.

Employment Length Movement	Typical Decision Effect
Under 6 months → 6-12 months	Removes the short-tenure referral trigger described in Chapter 6
1 year → 2 years	Modest favorable weight; rarely decisive alone
2 years → 5 years+	Marginal further favorable weight

Business reasoning: the Bank's loss experience associates the first year of a new employment relationship with materially higher income-disruption risk than subsequent years; the sensitivity of this characteristic is therefore concentrated almost entirely in the transition out of the first year, and further tenure beyond that point adds comparatively little further information.

17.2.7 Credit Grade

Credit grade, as constructed under Chapter 7, is a summary measure that already incorporates bureau history, utilization, and delinquency information. Movement to a better grade is favorable by construction and typically the most consequential single characteristic change available to an applicant, because grade governs both the decision threshold applied and the pricing tier assigned.

Grade Movement	Typical Decision Effect
D or below → C	Moves the applicant out of the highest-scrutiny referral tier
C → B	Standard approval tier for most consumer products; meaningful pricing improvement
B → A	Best available standard pricing; minimal further underwriting friction

Business reasoning: because grade already blends several underlying characteristics, a grade improvement should be understood as the summary consequence of one or more of the more granular changes described elsewhere in this chapter (reduced utilization, aged

delinquencies, longer history), rather than as an independent lever an applicant can pull directly.

17.2.8 Sub-grade

Sub-grade refines the pricing and decision threshold within a credit grade (for example, B1 through B5) and is more sensitive to recent, smaller changes than grade itself. A one or two sub-grade improvement is common following a single reporting cycle in which utilization drops or a payment history matures, and typically produces a proportionate, incremental pricing improvement without changing the underlying approval/decline outcome.

Sub-grade Movement	Typical Decision Effect
X5 → X3 (same letter grade)	Pricing improves; approval outcome usually unchanged
X3 → X1 (same letter grade)	Best pricing available within that grade; may relax a marginal condition
Crossing into the next letter grade (e.g., B1 → A5)	Treated as a grade movement; see Section 17.2.7

Business reasoning: sub-grade exists precisely to allow pricing to move in smaller increments than grade, so that a borrower who improves modestly is rewarded with better pricing well before their file is strong enough to cross a full grade boundary.

17.2.9 Credit Utilization

Revolving credit utilization (the proportion of available revolving credit currently drawn) is one of the more volatile characteristics in this chapter, capable of changing materially within a single billing cycle, and is correspondingly weighted for its most recent value rather than a long-run average. A reduction in utilization is favorable and its materiality increases sharply once utilization crosses below policy-relevant bands.

Utilization Band Movement	Typical Decision Effect
Above 80% → 60–80%	Removes the high-utilization referral flag
60–80% → 30–50%	Frequently sufficient to support a sub-grade improvement
30–50% → below 20%	Supports the most favorable pricing available within the applicant's grade

Business reasoning: high utilization is one of the strongest available near-term predictors of financial stress in the Bank's loss models referenced in Chapter 9, because it reflects current, revealed borrowing behavior rather than a historical record, which is why its sensitivity bands are comparatively wide and its effect on decisions can be pronounced even over a short observation window.

Worked calculation walkthrough. An applicant holds two revolving accounts: one with a \$2,000 limit and a \$1,780 balance, and one with a \$8,000 limit and a \$2,100 balance.

Aggregate utilization is calculated as total balances divided by total available limits across all revolving accounts, not as an average of each account's individual utilization: $(\$1,780 + \$2,100) \div (\$2,000 + \$8,000) = 38.8\%$. If the applicant instead pays the smaller account down to a \$200 balance, aggregate utilization becomes $(\$200 + \$2,100) \div \$10,000 = 23\%$, crossing into the low-utilization band described above. Note that if the applicant had instead focused only on the larger account and paid it down by the same dollar amount, leaving the smaller account at \$1,780, the resulting aggregate utilization would be materially different, which is why Underwriters must confirm which specific account was paid down rather than assuming a stated dollar reduction applies evenly across an applicant's revolving accounts.

17.2.10 Delinquencies

The number and recency of past delinquencies (30, 60, and 90+ day late payments) is treated differently from most other characteristics in this chapter because a past delinquency cannot be erased, only aged. The relevant sensitivity is therefore the passage of time since the most recent delinquency, and the accumulation of a clean payment record afterward, rather than a "reduction" in the traditional sense.

Time Since Most Recent Delinquency	Typical Decision Effect
Under 12 months	Referral or decline trigger depending on severity, per Chapter 10
12-24 months, no new delinquency	Referral trigger typically removed; grade may still reflect the event
24 months+, clean record since	Delinquency's weight in grade calculation substantially diminished

Business reasoning: the Bank's experience is that a single aged delinquency, followed by a sustained clean record, carries materially less predictive weight than a recent one, which is why look-back windows rather than simple counts govern the referral triggers in Chapter 10.

17.2.11 Bankruptcies

A recorded bankruptcy is the most severe adverse characteristic addressed in this chapter and is treated with the longest sensitivity horizon. Its influence on a decision diminishes only gradually, and certain bankruptcy types carry a hard policy floor (see Section 17.4.7) below which no compensating factor is sufficient without escalation beyond Underwriting authority.

Time Since Discharge	Typical Decision Effect
Undischarged / active proceeding	Automatic decline under standard policy; not eligible for standard exception
Discharged, under 24 months	Eligible only for the most conservative products, if any, per Chapter 10

Discharged, 24–48 months, clean record since	May be eligible for standard products at a conservative grade
Discharged, 48 months+, clean record since	Bankruptcy’s weight in grade calculation substantially diminished, though rarely eliminated entirely

Business reasoning: bankruptcy reflects a completed, formal determination of inability to meet obligations as they came due, and the Bank’s policy accordingly requires a longer demonstrated recovery period than for an ordinary delinquency before the event’s weight in a decision meaningfully recedes.

17.2.12 Credit History Length

Length of credit history is a slow-moving characteristic that an applicant cannot accelerate; it improves only through the ordinary passage of time. Its sensitivity is therefore most relevant to Credit Risk’s periodic threshold reviews (Section 17.2.1) rather than to individual reassessment requests, since an applicant cannot meaningfully lengthen their history between one application and a reconsideration weeks or months later.

History Length Band	Typical Decision Relevance
Under 2 years	Thin-file referral trigger; other characteristics weighted more heavily in absence of long history
2–7 years	Standard treatment; history length itself rarely decisive
7 years+	Marginal further favorable weight; supports grade stability

Business reasoning: history length functions mainly as a reliability check on the other characteristics in this chapter — a short history means less confidence in the current grade — rather than as a lever the applicant can move.

17.2.13 Combined and Interaction Effects

Several characteristics in this chapter are related well enough that a change in one mechanically changes another:

- A reduction in **requested loan amount** reduces **payment-to-income** directly and, for secured products, reduces **loan-to-value**.
- A reduction in **revolving utilization** typically improves **credit grade and sub-grade** at the next bureau refresh, because utilization is itself an input to the grading methodology described in Chapter 7.
- An increase in **verified income** improves **DTI** directly; it does not, on its own, change **credit grade**, since grade is bureau-derived rather than income-derived.
- The aging of a **delinquency** past a look-back window improves **credit grade** at the next refresh but does not itself change **DTI** or **income**.

Underwriters evaluating a multi-factor improvement (for example, an applicant who both

reduces the requested amount and has aged past a delinquency look-back window since the original decision) must re-run the complete decision rather than estimating the combined effect by adding the individual effects described in Sections 17.2.2 through 17.2.12. Those sections describe the influence of each characteristic holding others constant; they are not additive.

17.3 Borrower Improvement Scenarios

This section catalogs representative improvement scenarios for each characteristic addressed in Section 17.2. Each table presents a **Current Situation**, an **Improved Situation**, the **Expected Lending Impact**, and the **Business Reasoning** supporting that expectation. These scenarios are illustrative reference points for Underwriters, Relationship Managers, and Credit Risk performing reassessment or borrower coaching; they are not a substitute for running the complete decision on the applicant’s actual file, and the specific figures in the “Current” and “Improved” columns should be read as representative examples rather than as fixed policy thresholds.

17.3.1 Annual Income Scenarios

Worked example

Current: Annual income \$45,000 ↓ Improved: Annual income \$80,000 ↓ Expected Lending Impact: Improved repayment capacity; lower Debt-to-Income Ratio at the same obligations ↓ Business Reasoning: Lower lending risk; possible movement from Refer to Approve

Additional scenarios

Current Situation	Improved Situation	Expected Lending Impact	Business Reasoning
Income \$28,000, DTI 48%	Income \$38,000, DTI 35%	Referral cleared; standard approval likely	Additional verified income directly reduces DTI below the referral band
Income \$52,000, part-time	Income \$52,000 confirmed full-time, same employer	Stability confidence improves; grade unaffected	Confirms income durability rather than increasing its amount
Income \$65,000 single applicant	Income \$65,000 plus \$30,000 qualifying co-applicant income	DTI recalculated on combined basis; may clear a payment-to-income decline	Combined income is a recognized affordability offset under Chapter 6 where a co-applicant is added
Income \$90,000, DTI already 30%	Income \$110,000, DTI 26%	No change in approval outcome; negligible pricing effect	File was already within the most favorable affordability band
Income \$40,000, seasonal/variable	Income \$40,000, converted to averaged 24-month verified base	Improves confidence in the figure; may remove an income-stability referral	Reduces uncertainty in the income figure rather than the figure itself

17.3.2 Debt-to-Income Ratio Scenarios

Expected Lending

Current Situation	Improved Situation	Impact	Business Reasoning
DTI 52%	DTI 44%, achieved by paying off a \$6,000 auto loan	Moves out of automatic decline into manual referral	Removal of a fixed obligation directly lowers the ratio
DTI 47%	DTI 38%, achieved by reducing requested loan amount	Referral resolved; standard approval at same grade	Lower requested payment reduces the numerator of the ratio
DTI 41%	DTI 35%, achieved by a qualifying raise	Supports an improved sub-grade and modestly better pricing	Crosses into the most favorable DTI band for the applicant's grade
DTI 39%, thin file	DTI 33%, thin file unchanged	Modest improvement only; thin-file referral persists	DTI improvement does not address the separate thin-file trigger
DTI 60%	DTI 49%	Still above referral ceiling; decision likely unchanged	Improvement insufficient to cross the relevant policy band

17.3.3 Interest Rate / Pricing Scenarios

Current Situation	Improved Situation	Expected Lending Impact	Business Reasoning
Grade C rate applied, payment-to-income marginally over ceiling	Grade improves to B at reassessment, lower rate applies	Payment-to-income now within ceiling; approval supported	Rate change here is a consequence of grade improvement, not a standalone concession
Requested 36-month term at standard rate	Term extended to 60 months, same rate	Lower monthly payment; payment-to-income improves	Longer amortization reduces payment without changing rate
Applicant requests rate match to a competing offer, file otherwise unchanged	No characteristic change	No change expected	A rate change without a corresponding change in risk characteristics is not supportable under Section 17.2.4

17.3.4 Requested Loan Amount Scenarios

Current Situation	Improved Situation	Expected Lending Impact	Business Reasoning
\$35,000 requested, payment-to-income 3 points over ceiling	\$27,000 requested (23% reduction)	Payment-to-income within ceiling; approval likely at same grade	Payment falls roughly in proportion to the reduced principal
\$50,000 requested secured facility, LTV 92%	\$42,000 requested, LTV 78%	Both payment-to-income and LTV improve; referral cleared	Reduced amount improves two affordability tests simultaneously
\$15,000 requested,	\$12,000 requested	No change in decision	Reduction was not

already within all thresholds			needed to clear any threshold
\$60,000 requested, DTI 55%	\$40,000 requested, DTI 41%	Moves from automatic decline to manual referral	Amount reduction alone may not be sufficient if DTI remains above the referral ceiling

17.3.5 Employment Length Scenarios

Current Situation	Improved Situation	Expected Lending Impact	Business Reasoning
4 months with current employer	8 months with current employer, probation ended	Short-tenure referral flag removed	Crosses the minimum tenure threshold established in Chapter 6
11 months, prior 3-year history with a different employer in the same field	14 months, same employer	Modest further improvement; largely already credited for continuity in same field	Continuity of employment in the same field is already partially recognized under Chapter 6
3 years, stable	6 years, stable	Negligible additional effect	Tenure sensitivity is concentrated in the first year; further tenure adds little further information

17.3.6 Credit Grade Scenarios

Worked example

Current: Grade B5 ↓ Improved: Grade A3 ↓ Expected Lending Impact: Approval threshold and pricing tier both improve materially ↓ Business Reasoning: Grade improvement reflects lower blended bureau-derived risk; supports both approval and best-available pricing

Additional scenarios

Current Situation	Improved Situation	Expected Lending Impact	Business Reasoning
Grade D2	Grade C4	Exits highest-scrutiny referral tier	Crosses the D/C grade boundary defined in Chapter 7
Grade C1	Grade B5	Modest pricing improvement; approval outcome likely unchanged	Adjacent sub-grade movement across a grade boundary at the margin
Grade B2	Grade A5	Meaningful pricing improvement; may relax a manual condition	Crosses into the Bank's most preferred pricing tier

17.3.7 Sub-grade Scenarios

Current Situation	Improved Situation	Expected Lending Impact	Business Reasoning
B5	B2	Pricing improves within grade B; approval outcome unchanged	Reflects incremental improvement not yet sufficient to cross a grade boundary
C4	C1	Best available pricing within grade C	Sub-grade captures finer-grained risk differences than grade alone
A3	A1	Marginal pricing improvement only	Already within the most favorable grade; further sub-grade movement has limited remaining effect

17.3.8 Credit Utilization Scenarios

Current Situation	Improved Situation	Expected Lending Impact	Business Reasoning
Utilization 88%	Utilization 65%, achieved by pay-down	High-utilization referral flag removed	Crosses below the 80% policy-relevant band
Utilization 72%	Utilization 34%	Supports a sub-grade improvement at next bureau refresh	Crosses into the moderate-utilization band associated with materially lower loss rates
Utilization 45%	Utilization 18%	Supports the most favorable pricing within current grade	Crosses into the lowest-utilization band
Utilization 95% across several revolving accounts	Utilization 70% on the largest account only, others unchanged	Partial improvement; blended utilization may remain elevated	Aggregate utilization, not a single account, drives the grading calculation described in Chapter 7

17.3.9 Delinquency Scenarios

Current Situation	Improved Situation	Expected Lending Impact	Business Reasoning
60-day delinquency 8 months ago	Same delinquency, now 15 months old, no further delinquency	Referral flag likely persists until the 12-24 month window matures further	Recency, not the mere existence of the event, drives the referral trigger
30-day delinquency 20 months ago, clean since	Same event, now 26 months old, still clean	Delinquency's weight in grade substantially	Crosses the Bank's standard look-back

		diminished	window described in Section 17.2.10
Two 30-day delinquencies within the past year	One additional on-time year completed, no new delinquency	Gradual improvement; referral flag likely persists given recency and count	Multiple recent delinquencies require a longer clean period before the trigger clears

17.3.10 Bankruptcy Scenarios

Current Situation	Improved Situation	Expected Lending Impact	Business Reasoning
Chapter 7 discharged 18 months ago	Chapter 7 discharged 30 months ago, clean record since	May become eligible for standard products at a conservative grade	Crosses the 24-month minimum described in Section 17.2.11
Chapter 7 discharged 30 months ago	Chapter 7 discharged 54 months ago, clean record since	Bankruptcy's weight in grade substantially diminished	Crosses the 48-month band associated with materially reduced residual weight
Active, undischarged proceeding	Proceeding discharged	Removes automatic decline trigger; standard bankruptcy timelines above then apply	Discharge is a precondition to any further reassessment under Chapter 10

17.3.11 Credit History Length Scenarios

Current Situation	Improved Situation	Expected Lending Impact	Business Reasoning
18 months of history	30 months of history, all other characteristics unchanged	Thin-file referral trigger likely removed	Crosses the 2-year minimum described in Section 17.2.12
4 years of history	9 years of history	Negligible additional effect	History length beyond the standard band adds little further information

17.3.12 Composite Improvement Scenarios

Applicants frequently present more than one improvement at reassessment. The following composite examples illustrate how multiple favorable changes are evaluated together, consistent with Section 17.2.13.

Current Situation	Improved Situation	Expected Lending Impact	Business Reasoning
Income \$42,000, DTI 49%, utilization 82%, grade C5	Income \$58,000, DTI 36%, utilization 41%, grade B3	Likely moves from decline to standard approval with improved pricing	Multiple related characteristics moved together, each reinforcing the others
Requested \$30,000, DTI	Requested \$22,000, DTI	Payment-to-income and	Amount reduction and

Requested \$50,000, DTI 46%, delinquency 10 months old	Requested \$22,000, DTI 37%, delinquency now 19 months old	Payment to resolve and DTI both clear; delinquency flag may still apply pending further aging	Amount reduction and time-driven aging resolve different tests; one may still be outstanding
Grade B4, utilization 68%, income unchanged	Grade A5, utilization 22%, income unchanged	Grade and utilization improvement move together since utilization is a grading input	Illustrates the mechanical link described in Section 17.2.13 rather than two independent effects

17.4 Borrower Deterioration Scenarios

Deterioration scenarios mirror the improvement scenarios in Section 17.3 but move each characteristic in the unfavorable direction. This section exists primarily to support two activities: (a) portfolio monitoring staff assessing how an existing borrower's changed circumstances affect a renewal, limit increase, or line management decision under Chapter 14, and (b) Underwriting's assessment of a new application in which one or more characteristics are weaker than a prior application from the same applicant. As with Section 17.3, the figures below are illustrative and the complete decision must always be re-run rather than estimated from a single characteristic.

17.4.1 Income Deterioration

Current Situation	Deteriorated Situation	Expected Lending Impact	Business Reasoning
Income \$75,000, DTI 32%	Income \$52,000, DTI 46% (obligations unchanged)	Moves from standard approval territory to manual referral	Reduced income directly raises DTI against fixed obligations
Income \$60,000, full-time	Income \$60,000, reduced to part-time hours at same employer	Stability concern even where current pay figure is similar	Signals reduced durability of the stated income going forward
Income \$48,000, single applicant	Income \$48,000, co-applicant income withdrawn from a joint application	DTI recalculated on a narrower basis; may trigger referral or decline	Removal of a previously counted income source narrows affordability capacity

17.4.2 Debt-to-Income Ratio Deterioration

Current Situation	Deteriorated Situation	Expected Lending Impact	Business Reasoning
DTI 34%	DTI 43%, new auto loan obligation added	May move from standard approval to manual referral	New fixed obligation raises the ratio directly
DTI 41%	DTI 53%, requested loan amount increased	Likely moves toward automatic decline territory	Higher requested payment increases the numerator of the ratio
DTI 44%	DTI 51%, driven by a new revolving balance	Referral or decline depending on other file characteristics	Combines with a probable utilization increase, see Section 17.4.6

17.4.3 Requested Loan Amount Increases

Current Situation	Deteriorated Situation	Expected Lending Impact	Business Reasoning
\$20,000 requested, DTI	\$32,000 requested, DTI	Moves from approval to	Larger requested

38%	47%	manual referral	payment raises DTI and may raise LTV on secured products
\$25,000 requested, within all thresholds	\$45,000 requested, payment-to-income now over ceiling	Referral or decline depending on grade and other factors	Payment size, not the borrower's underlying risk profile, has changed

17.4.4 Employment Instability

Current Situation	Deteriorated Situation	Expected Lending Impact	Business Reasoning
3 years, stable employer	New employer, 2 months' tenure	Short-tenure referral flag applies regardless of prior stable history	Chapter 6's minimum tenure standard applies to the current employment relationship
Full-time, permanent	Reduced to contract or temporary status	Income stability concern; may trigger a manual referral even absent a pay change	Reduced employment security is treated independently of current pay level
Continuous employment	Recent unexplained employment gap	Manual referral for further verification	Gaps require explanation before income can be treated as reliable under Chapter 6

17.4.5 Credit Grade Deterioration

Current Situation	Deteriorated Situation	Expected Lending Impact	Business Reasoning
Grade B3	Grade C5	Moves to a higher-scrutiny referral tier; pricing worsens	Crosses the B/C grade boundary
Grade A4	Grade B2	Pricing worsens; approval outcome likely still standard	Adjacent movement across the A/B boundary at the margin
Grade C2	Grade D3	High likelihood of decline or most conservative product only	Crosses into the Bank's most conservative grading tier

17.4.6 Credit Utilization Increases

Current Situation	Deteriorated Situation	Expected Lending Impact	Business Reasoning
Utilization 35%	Utilization 78%	High-utilization referral flag likely applies	Crosses into the elevated-utilization band described in Section 17.2.9

Utilization 60%	Utilization 91%	Strong adverse signal; may support decline absent strong compensating factors	Crosses into the Bank's highest-risk utilization band
Utilization 20% across accounts	Utilization spikes on one account only, aggregate rises to 55%	Moderate adverse effect; blended figure governs	Aggregate, not single-account, utilization drives the grading calculation

17.4.7 New Delinquency or Bankruptcy

Current Situation	Deteriorated Situation	Expected Lending Impact	Business Reasoning
Clean payment history	New 60-day delinquency in the past 6 months	Manual referral or decline depending on grade and DTI	Recent delinquency is a strong adverse signal under Section 17.2.10
No bankruptcy on file	New bankruptcy filing, undischarged	Automatic decline; not eligible for standard exception consideration	Undischarged bankruptcy is a hard policy floor described in Section 17.2.11
Prior delinquency aged past look-back window	New delinquency reported, resetting recency	Referral flag re-applies as though no aging had occurred	Recency of the most recent event, not the longest-aged event, governs the trigger

17.4.8 Combined Deterioration

Current Situation	Deteriorated Situation	Expected Lending Impact	Business Reasoning
Grade B4, DTI 39%, utilization 42%	Grade C5, DTI 48%, utilization 81%	Likely decline or, at best, referral with significant compensating factors required	Grade decline and utilization increase are mechanically linked, and both compound with the DTI increase
Income \$70,000, stable employment, clean history	Income \$50,000, new employer 3 months, one recent 30-day delinquency	Very likely decline pending further review	Multiple adverse characteristics moved together, each reinforcing the others

17.4.9 Use of Deterioration Scenarios in Portfolio Monitoring

Chapter 14 requires periodic re-grading of existing accounts using refreshed bureau data. Where re-grading reveals deterioration consistent with the patterns in this section, the account is referred to Credit Risk for line management review under Chapter 14, which may result in a credit limit reduction, a requirement for additional documentation before a renewal, or placement on a watch list. This chapter does not itself authorize any adverse action on an existing account; it provides the shared vocabulary Underwriting and Credit

Risk use to describe why a re-graded account is being referred.

17.6 Fair Lending, Consistency, and Non-Discrimination Considerations

17.6.1 Purpose of This Section

Because this chapter concerns the exercise of judgment — through reassessment, borrower coaching, and policy exceptions — it carries particular fair lending significance. Discretion applied unevenly across similarly situated applicants is one of the more common sources of fair lending risk identified in consumer lending examinations generally, and the Bank's own Compliance function has identified reassessment and exception activity as an area warranting specific controls. This section sets out those controls. It supplements, and does not replace, the Bank's Fair Lending Policy maintained by Compliance.

17.6.2 Consistency Principle

The characteristics addressed in Sections 17.2 through 17.4 — income, DTI, requested amount, employment length, grade, sub-grade, utilization, delinquency and bankruptcy recency, and history length — are the only characteristics that may be considered in a reassessment or an exception recommendation. A prohibited basis under the Bank's Fair Lending Policy (including but not limited to race, color, religion, national origin, sex, marital status, age, receipt of public assistance income, or the exercise of a right under consumer protection law) must never be considered, referenced, or recorded as a factor in any reassessment or exception, whether as a reason to grant more favorable treatment or as a reason to grant less favorable treatment. Underwriters and approvers must apply the same sensitivity bands and the same compensating-factor categories to every applicant presenting the same characteristics, regardless of any other information that may appear in the file.

17.6.3 Consistent Treatment of Compensating Factors

Underwriting Managers approving exceptions under Section 17.5 must be able to demonstrate, if asked by Compliance or Internal Audit, that a compensating factor accepted for one applicant would be accepted on the same terms for any other applicant presenting materially the same factor and the same policy shortfall. Where an Underwriting Manager or Credit Risk Officer declines to extend an exception on a compensating factor that has previously been accepted in a comparable file, the file must document the specific distinction that justifies the different outcome; "no reason recorded" is not an acceptable basis for inconsistent treatment and will be flagged in the quarterly exception review described in Section 17.5.6.

17.6.4 Second Review of Denied Exception Requests

Where an Underwriting Manager declines to approve an exception recommended by an Underwriter, and the applicant belongs to a class the Bank monitors under its fair lending self-testing program, the file is automatically flagged for the Compliance fair lending self-

testing queue described in the Fair Lending Policy. This is a monitoring control only; it does not alter the underlying decision, and Compliance does not have authority to override an Underwriting Manager's credit judgment. Compliance's role is limited to identifying patterns across files for further review by the Credit Risk Policy Committee.

17.6.5 Prohibited Use of This Chapter in Applicant-Facing Coaching

Section 17.1.11 already limits what Relationship Managers may communicate to a declined applicant. This section adds two further requirements specific to fair lending. First, coaching provided to one applicant on how a future application might improve must be available, on request, to any applicant in a comparable position; the Bank does not provide this guidance selectively. Second, staff must never suggest, even informally, that an applicant alter any prohibited-basis characteristic (for example, suggesting a change in household composition or marital status) as a means of improving a future decision; permissible coaching is limited strictly to the characteristics addressed in Sections 17.2 through 17.4.

17.6.6 Documentation Supporting Fair Lending Review

Every exception approval record described in Section 17.5.4 must be structured so that Compliance can extract, across the full exception population, the compensating-factor category relied upon and the applicant characteristics on file, without needing to read free-text narrative for every file. This structured extraction is what allows the quarterly and annual fair lending self-testing exercises described in the Fair Lending Policy to test for disparate treatment or disparate impact arising from the exception process itself, rather than only from the standard decision rules addressed in Chapters 10-13.

17.7 Quality Assurance, Second-Line Review, and Escalation

17.7.1 First-Line Quality Assurance

Underwriting Managers perform monthly quality assurance sampling of reassessment and exception files within their span of control, consistent with the sampling methodology in Chapter 4. Sampling under this chapter specifically tests for: correct classification of a non-standard approval as either a conditional approval or a policy exception under Section 17.1.4; completeness of the documentation required under Section 17.5.4; and correct application of the approval authority matrix in Section 17.5.3. Findings are logged and, where a pattern of error is identified, addressed through targeted coaching or, where material, through the training suspension mechanism described in Section 17.1.9.

17.7.2 Second-Line Review

Credit Risk Management performs an independent second-line review of a risk-based sample of exception files each quarter, separate from the portfolio-level monitoring described in Section 17.5.6. This review tests whether the compensating factor recorded was, in the reviewer's independent judgment, reasonably sufficient to support the departure from standard policy given the severity of that departure, and whether the condition or covenant attached under Section 17.5.5 was appropriate. Disagreement between the second-line reviewer and the original approver does not retroactively change the decision on the file in question but is escalated to the Underwriting Standards Sub-Committee for calibration guidance where the disagreement reflects a broader interpretive question rather than a single file-specific judgment call.

17.7.3 Escalation Triggers

The following circumstances require escalation beyond the individual Underwriter or Underwriting Manager handling a file, regardless of the outcome otherwise indicated by Sections 17.2 through 17.5:

- Any file combining more than one characteristic identified in Section 17.4 as materially deteriorated, considered for an exception rather than a decline.
- Any request for a second reassessment beyond the frequency limit in Section 17.1.6.
- Any exception recommendation that a Second Review under Section 17.7.2 has previously questioned for a materially similar fact pattern within the preceding twelve months.
- Any file in which the applicant disputes the accuracy of bureau-reported data underlying a grade, utilization, delinquency, or bankruptcy characteristic; such disputes are routed to the bureau dispute process described in Chapter 9 and are not resolved through the reassessment procedure in this chapter.

17.7.4 Reporting to the Credit Risk Policy Committee

Alongside the quarterly exception portfolio report described in Section 17.5.6, Credit Risk Management reports first- and second-line quality assurance results, escalation volumes

and outcomes, and any recommended amendment to the sensitivity bands, compensating-factor categories, or approval authority levels in this chapter. The Committee's ratification is required before any such amendment takes effect, consistent with Section 17.5.8.

17.8 Common Reassessment Questions and Reference Answers

Underwriters, Relationship Managers, and Credit Risk staff receive a recurring set of questions from applicants and from within the Bank when a file is being reassessed. This section collects the most frequently recurring questions and provides a reference answer, drawing on the sensitivity material in Sections 17.2 through 17.4. These reference answers are a starting point for a conversation about a specific file; they are not a substitute for running the complete decision, and the qualifications noted in Section 17.2.1 apply to every answer below.

17.8.1 “What if the applicant’s annual income increases?”

An income increase is favorable to the extent it lowers Debt-to-Income Ratio or improves the payment-to-income calculation for the requested amount. It does not, by itself, change credit grade, since grade is derived from bureau data rather than income (Section 17.2.2, Section 17.2.13). The practical effect depends heavily on how close the applicant’s current DTI is to a relevant policy band boundary described in Section 17.2.3: an applicant already well within the standard DTI band will see little practical effect from a further income increase, while an applicant just above a referral ceiling may see the referral cleared entirely.

17.8.2 “What if Debt-to-Income Ratio decreases?”

This is generally the single most consequential improvement addressed in this chapter. Section 17.2.3 sets out the standard bands; the closer the applicant’s current DTI is to a band boundary, the more likely a given reduction is to change the outcome. Underwriters should confirm what produced the reduction (higher income, lower requested amount, or paid-down debt) because the source affects how the improvement is documented and verified, even though the effect on the DTI figure itself is the same regardless of source.

17.8.3 “What if the applicant improves from Grade B5 to Grade A3?”

A movement from B5 to A3 crosses a full letter-grade boundary and is one of the more material single-characteristic improvements addressed in this chapter (Section 17.2.7). Because grade already incorporates bureau history, utilization, and delinquency information, Underwriters should expect this kind of movement to reflect an underlying improvement in one or more of those components (most commonly a sustained utilization reduction or the aging of a delinquency past a look-back window) rather than to occur in isolation. The practical effect is typically both a relaxation of the applicable decision threshold and a meaningfully improved pricing tier, consistent with Section 17.3.6.

17.8.4 “What if the requested loan amount decreases?”

Of the characteristics in this chapter, a reduction in requested amount is the most linear and the most immediately available to the applicant, since it requires no third-party verification and takes effect the moment the applicant amends the request. Section 17.2.5

and Section 17.3.4 set out representative bands; as a general reference point, a reduction in the range of 20-25% or more from the original request is often sufficient to resolve a marginal payment-to-income referral on its own, while smaller reductions are more often paired with another change.

17.8.5 “What if employment length increases?”

The practical effect depends almost entirely on where the applicant currently sits relative to the twelve-month tenure threshold described in Section 17.2.6. An applicant moving from, for example, four months to eight months with the same employer remains within the short-tenure referral band and will not see the flag cleared; an applicant moving from ten months to fourteen months will typically see the flag cleared. Beyond roughly two years, further tenure adds comparatively little additional favorable weight.

17.8.6 “What if revolving utilization decreases?”

Utilization is one of the more responsive characteristics in this chapter because it can change within a single billing cycle and is weighted for its most recent value (Section 17.2.9). A reduction that crosses from above 80% to the 60-80% band typically clears the high-utilization referral flag; a further reduction into the 30-50% band typically supports a sub-grade improvement at the next bureau refresh, consistent with the mechanical link described in Section 17.2.13.

17.8.7 “What changes would most improve this applicant’s approval chances?”

There is no single answer that applies to every file, because the characteristic with the most available “room to move” differs from applicant to applicant. As a general reference point drawn from the materiality assessments in Section 17.2 and summarized in Appendix A: where an applicant is marginal on affordability alone, a reduction in requested loan amount is usually the fastest and most reliably estimable lever, since it requires no verification delay and its effect is close to linear. Where an applicant is marginal on grade or sub-grade, a reduction in revolving utilization sustained through at least one bureau reporting cycle is usually the most effective lever, since utilization both clears its own referral flag and feeds into the grading calculation. Where an applicant is marginal because of a recent delinquency, no action available to the applicant accelerates the outcome; only the passage of time past the relevant look-back window in Section 17.2.10 will move the decision. Underwriters advising an applicant should identify which of these categories the file falls into before suggesting a specific course of action, and must observe the limits on applicant coaching set out in Section 17.1.11 and Section 17.6.5.

17.8.8 “Can more than one small change add up to the same effect as one large change?”

Sometimes, but not reliably enough to promise in advance. Section 17.2.13 explains that several of the characteristics in this chapter are mechanically linked (for example, utilization and grade), so a change that appears to affect only one characteristic may in fact

move two at once. Other combinations are not linked in this way (for example, income and grade), and a small change in each does not reliably sum to the same effect as a large change in one. The only way to confirm a multi-factor improvement's effect is to re-run the complete decision as required by Section 17.1.6; Underwriters must not estimate a combined effect by adding the individual materiality assessments in Section 17.2 together.

17.8.9 “The applicant improved one characteristic but was still declined — why?”

A single favorable change moves the file within the band structure described in Section 17.2, but a decision reflects every characteristic in the file considered together, not the changed characteristic in isolation. An improvement that clears one referral flag does not clear a separate flag driven by a different characteristic (Section 17.2.13, Section 17.3.12). Underwriters should identify, from the reassessment log, precisely which characteristic changed and confirm which flags that characteristic governs before concluding that a reassessment “did not work”; in most such cases, a different, unaddressed characteristic is the reason the outcome did not change.

17.8.10 “Is a policy exception the same thing as bending the rules?”

No. Section 17.1.3 and Section 17.5 define an exception as a documented, authority-limited use of judgment operating within boundaries the Credit Risk Policy Committee has itself established, supported by a recognized compensating factor and subject to second-line review under Section 17.7.2 and fair lending monitoring under Section 17.6. An approval granted without a recognized compensating factor, without the required documentation, or by staff without the required authority level is not a valid exception under this framework and must be remediated upon discovery.

17.9 Special Considerations for Self-Employed and Non-Traditional Income Applicants

17.9.1 Why This Category Requires Separate Treatment

The income sensitivity described in Section 17.2.2 assumes income that can be verified against a small number of stable, recent, and independently corroborated sources — typically pay stubs and employer confirmation. Self-employed applicants, commission-based applicants, and applicants with seasonal or gig-based income do not present income in this form, and a reassessment involving this population requires additional steps beyond those in Section 17.1.6.

17.9.2 Averaging Period and Its Effect on Sensitivity

Chapter 6 requires self-employed income to be established using a two-year averaging period, ordinarily drawn from filed tax returns. A consequence of this averaging period is that a single strong recent year does not move the applicant’s usable income figure by nearly as much as an equivalent pay increase would move a salaried applicant’s figure, because the strong year is blended with the prior year rather than replacing it outright. Underwriters and Relationship Managers advising a self-employed applicant on income improvement must account for this averaging effect and must not suggest that a single strong year will produce the same sensitivity described in Section 17.2.2 for salaried income.

Self-Employed Income Scenario	Effect on Two-Year Average	Typical Decision Relevance
Prior year \$40,000, current year \$70,000	Average rises to \$55,000	Meaningful improvement, but materially less than the current year figure alone would suggest
Prior year \$60,000, current year \$62,000	Average rises to \$61,000	Minimal change; consistent with a stable, unremarkable trend
Prior year \$80,000, current year \$45,000 (documented one-time business disruption)	Average falls to \$62,500 absent an accepted exception	May be addressed under the temporary income reduction compensating factor in Section 17.5.2(b) if the disruption is well documented and time-limited

17.9.3 Reassessment Procedure for Self-Employed Applicants

A reassessment request from a self-employed applicant citing improved income must be supported by a newly filed tax return or, where the current tax year is not yet filed, year-to-date business financial statements meeting the standard in Chapter 6, together with the two most recent complete years already on file. A single quarter or a small number of strong months, without the supporting complete-year documentation, is not sufficient to support a reassessment under this chapter and should be treated as an request for

conditional approval pending the next complete filing, not as a basis for an immediate decision change.

17.9.4 Commission and Gig-Based Income

Commission-based and gig-platform income is assessed against a trailing twelve-month average under Chapter 6, rather than the two-year average applied to self-employed applicants, reflecting its comparatively higher month-to-month volatility but shorter typical relationship to any single employer. Sensitivity to a recent strong period is intermediate between the salaried treatment in Section 17.2.2 and the self-employed treatment in Section 17.9.2: a strong recent quarter moves the trailing average more than it would move a two-year self-employed average, but less than it would move a salaried applicant's current stated income.

17.10 Co-Applicants, Guarantors, and Joint Reassessment

17.10.1 Adding a Co-Applicant at Reassessment

An applicant declined on affordability grounds may request reassessment with a co-applicant added to the file. This is treated as a new joint application for underwriting purposes, not a simple reassessment of the original applicant's characteristics, because the addition of a co-applicant changes the household income, the combined obligations used in the DTI calculation, and potentially the credit grade used for pricing, which under Chapter 8 is derived from the lower of the two applicants' grades unless the product's specific rules state otherwise. Underwriters must re-verify both applicants' characteristics in full rather than layering the new co-applicant's income onto the original applicant's previously verified file.

Original Situation	Joint Reassessment	Expected Lending Impact	Business Reasoning
Single applicant, income \$40,000, DTI 51%	Joint application with co-applicant income \$35,000, combined DTI 33%	Likely resolves affordability decline	Combined income directly improves the affordability calculation
Single applicant, Grade B4	Joint application, co-applicant Grade D2	Pricing likely reflects the lower grade under Chapter 8's standard rule	Adding a materially weaker co-applicant can offset an affordability benefit with a pricing or grade cost
Single applicant, marginal DTI, strong credit history	Joint application, co-applicant with a recent bankruptcy	May trigger a non-exceptable circumstance under Section 17.5.7 depending on discharge status	The joint application is assessed on the combined file, including any disqualifying characteristic present in either applicant

17.10.2 Guarantor Arrangements

A guarantor differs from a co-applicant in that the guarantor is not a borrower on the facility and is not included in the primary affordability calculation, but assumes secondary liability for repayment. Where a guarantor is offered as a compensating factor under Section 17.5.2(e), the guarantor must independently satisfy standard underwriting criteria for the full requested obligation, verified to the same documentation standard as a primary applicant under Chapter 6, and must receive the liability disclosure required under Chapter 11 before the arrangement can be relied upon in an exception approval.

17.10.3 Removing a Co-Applicant or Guarantor

Where an existing joint obligation's co-applicant or guarantor is removed — for example, on a refinance or a requested facility modification — the remaining applicant's file must be reassessed as though it were a new single-applicant application, using that applicant's own income, obligations, and grade. The favorable characteristics previously contributed by the removed party do not carry forward, and Underwriters must not approve a modification on the basis of a combined file that no longer reflects the parties actually obligated on the facility going forward.

17.11 Interaction with Regulatory Examinations and External Review

17.11.1 Purpose

The Bank's consumer lending activity is subject to periodic examination by its prudential regulator and, where applicable, review by state regulators and third-party auditors engaged in connection with loan sale or securitization due diligence. This section describes how the records and processes established elsewhere in this chapter are used to support those external reviews, and assigns responsibility for coordinating the Bank's response.

17.11.2 Examiner Requests Concerning Reassessments and Exceptions

Where an examiner requests a sample of reassessed or exception-approved files, Enterprise Credit Policy & Underwriting Standards coordinates the response together with Compliance, drawing on the structured fields described in Appendix G and Appendix H. Staff responding to an examiner request must provide the structured record in full, together with the underlying supporting documentation referenced in that record; staff must not summarize or characterize an exception's rationale in place of providing the documented rationale itself. Where an examiner identifies a file lacking the documentation required under Section 17.5.4, the matter is logged as an examination finding and addressed through the Bank's standard examination response process described in Chapter 4, which may include remediation of the specific file, a review of other files approved by the same individual within the same period, or a broader review of the relevant compensating-factor category.

17.11.3 Use of This Chapter in Examiner Walkthroughs

Examiners frequently ask Underwriting staff to walk through how a specific characteristic change would affect a hypothetical or actual file, in substance the same kind of question addressed in Section 17.8. Staff participating in an examiner walkthrough should answer using the sensitivity bands and reasoning documented in Sections 17.2 through 17.4 of this chapter, and should avoid characterizing any individual answer as a guarantee of a specific outcome, consistent with the qualifications in Section 17.2.1. Where an examiner's question falls outside the scenarios documented in this chapter, staff should note the question and route it to Credit Risk Management for a considered written response rather than improvising an answer that is not grounded in documented policy.

17.11.4 Third-Party Due Diligence Reviews

Where loans originated under the policies in this chapter are included in a pool subject to third-party due diligence review in connection with a sale or securitization, the same structured records described in Appendix G and Appendix H are the primary source used to respond to due diligence exception-rate and documentation-completeness testing. Enterprise Credit Policy & Underwriting Standards maintains a standing point of contact

for this purpose and is responsible for ensuring that any due diligence finding concerning this chapter's processes is reported to the Credit Risk Policy Committee alongside the standard quarterly reporting described in Section 17.5.8 and Section 17.7.4.

17.5 Policy Exception Framework

17.5.1 Purpose of Exceptions

Standard decision rules are calibrated to the characteristics of a typical applicant and cannot, by design, account for every combination of circumstances that a compensating factor might reasonably offset. The exception framework exists to allow a delegated approver to depart from a standard rule in a specific file, on the basis of a recognized compensating factor, without altering the underlying policy for the broader portfolio. An exception is always file-specific; it is never a precedent for a subsequent file, and Underwriters must not cite a prior exception as justification for a new one.

17.5.2 Categories of Recognized Compensating Factor

The Credit Risk Policy Committee recognizes the following categories of compensating factor as potentially sufficient to support an exception. A factor from this list is a precondition for exception consideration; it is not, on its own, a guarantee of approval, and the strength of the factor must be weighed against the severity of the policy rule being departed from.

(a) Excellent repayment history. A demonstrated multi-year record of on-time payments across existing credit facilities, with no delinquency of any severity in the look-back period defined in Chapter 9, may offset a marginal failure of a single affordability threshold such as DTI.

(b) Temporary income reduction. A documented, time-limited reduction in income (for example, a medical leave with a confirmed return-to-work date, or a documented seasonal business cycle for a self-employed applicant) may offset a current-period DTI or income shortfall where the underlying earning capacity is otherwise well established and documented.

(c) High net worth. Verified liquid or near-liquid net worth materially in excess of the requested loan amount may offset an affordability shortfall, on the reasoning that the applicant has demonstrated capacity to service the obligation from resources beyond current income. Net worth composed primarily of illiquid or hard-to-value assets does not qualify under this category without additional verification.

(d) Additional collateral. For secured products, collateral pledged in excess of the standard loan-to-value requirement may offset a marginal shortfall in the borrower's credit grade or DTI, on the reasoning that the Bank's loss-given-default is reduced even where probability of default is somewhat elevated.

(e) Strong guarantor. A qualifying guarantor who independently meets standard underwriting criteria for the full obligation may offset a shortfall in the primary applicant's characteristics, subject to the guarantor documentation and liability disclosure requirements in Chapter 11.

(f) Very small requested loan amount. Where the requested amount is small relative to the applicant's demonstrated capacity and the Bank's typical exposure for that product, a

marginal policy shortfall elsewhere in the file may be offset on the reasoning that the absolute dollar exposure at risk is limited.

(g) Existing banking relationship. A long-standing, well-conducted deposit or credit relationship with the Bank, evidencing conduct not fully captured by bureau data, may be considered as a secondary supporting factor but is not, on its own, sufficient to support an exception absent one of the factors above.

17.5.3 Exception Approval Matrix

Severity of Policy Departure	Required Approval Authority
Single characteristic marginally outside standard band (e.g., DTI up to 3 points above ceiling)	Senior Underwriter
Single characteristic materially outside standard band, or two characteristics marginally outside standard band	Underwriting Manager
Departure from a grade-based decline, or departure affecting pricing tier by more than one sub-grade	Credit Risk Officer
Any departure involving an undischarged bankruptcy, active fraud alert, or a characteristic identified in Section 17.5.7 as non-exceptable	Not eligible for exception under this framework; requires Credit Risk Policy Committee review if pursued at all

Approval authority is cumulative: an approver at a given level may approve any exception within that level or a more restrictive level, but not a more severe departure than their assigned level.

17.5.4 Documentation Requirements

Every exception approval must include, in the loan file:

1. Identification of the specific policy rule from which the file departs.
2. Identification of the compensating factor(s) relied upon, drawn from the categories in Section 17.5.2.
3. Supporting documentation for each compensating factor (for example, bank or brokerage statements for a high-net-worth claim, or an employer letter with a confirmed return date for a temporary income reduction claim).
4. The name and title of the approving authority, consistent with Section 17.5.3.
5. Any condition or covenant attached to the approval under Section 17.5.5.
6. A brief written rationale connecting the compensating factor to the specific policy rule being departed from; a rationale that merely restates the compensating factor without this connection is not sufficient.

Files lacking any of the above are not considered validly approved exceptions for audit purposes and must be remediated or escalated upon discovery.

17.5.5 Conditions and Covenants

An exception approval may, and in most cases should, be accompanied by a condition or covenant designed to monitor or mitigate the specific risk being accepted. Common examples include:

- A requirement for updated income documentation at defined intervals where a temporary income reduction was the compensating factor.
- A modestly reduced approved amount relative to the original request, even where the compensating factor would support the full amount, as an additional margin of safety.
- A shorter initial term with a documented right to extend upon satisfactory performance.
- Placement on a heightened-monitoring list under Chapter 14 for a defined period following disbursement.
- Where a guarantor is the compensating factor, confirmation of the guarantor's continued qualifying status at defined intervals.

Conditions must be entered into the loan origination system as structured data, not only as free-text notes, so that Credit Risk can monitor compliance in aggregate across the exception portfolio.

17.5.6 Monitoring and Review of Exception-Approved Loans

Credit Risk Management reviews the exception portfolio on a quarterly basis and reports to the Credit Risk Policy Committee on:

- Total exception volume and rate, by product and by compensating-factor category.
- Approval authority level utilized, to confirm alignment with Section 17.5.3.
- Early performance indicators (delinquency incidence at 6 and 12 months) for exception-approved loans relative to standard-approved loans of comparable grade.
- Any pattern suggesting a compensating factor category is being relied upon more broadly than intended, which may prompt a recommendation to tighten Section 17.5.2 or to formally incorporate a recurring pattern into standard policy under Chapters 10–13.

A sustained adverse performance trend in any compensating-factor category is grounds for the Committee to suspend that category pending review.

17.5.7 Non-Exceptionable Circumstances

The following circumstances are not eligible for exception under this framework regardless of the strength of any compensating factor, and any file presenting one of these circumstances must be declined or escalated to the Credit Risk Policy Committee as a matter requiring policy-level, rather than file-level, judgment:

- An active, undischarged bankruptcy proceeding.
- An active fraud alert, confirmed identity discrepancy, or unresolved suspicious activity flag.
- Applicant appears on a sanctions, watch-list, or politically exposed persons screening hit that has not been cleared by Compliance.
- Requested use of proceeds inconsistent with the Bank's permissible purpose policy

under Chapter 3.

- Any circumstance where granting the exception would breach a regulatory lending limit or a covenant in the Bank's own funding or capital arrangements.

17.5.8 Governance, Audit, and Reporting

This chapter, and any amendment to the compensating-factor categories, approval authority levels, or sensitivity bands described in Section 17.2, requires approval by the Credit Risk Policy Committee. Internal Audit includes exception-file testing as a standing element of the annual credit file review program described in Chapter 4, with particular attention to documentation completeness under Section 17.5.4 and to approval authority compliance under Section 17.5.3. Findings are reported to the Audit Committee and to the Credit Risk Policy Committee.

Appendix A — Sensitivity Quick-Reference Matrix

The table below summarizes the direction and typical materiality of each characteristic addressed in this chapter, for quick reference. It does not replace the detailed sensitivity bands in Section 17.2 and must not be used as a standalone decision tool.

Characteristic	Favorable Direction	Typical Materiality	Primary Mechanism
Annual Income	Increase	Moderate, mediated through DTI	Reduces DTI and payment-to-income
Debt-to-Income Ratio	Decrease	High across most of the policy range	Direct affordability measure
Interest Rate	Decrease	Moderate, usually a consequence of grade	Reduces monthly payment
Requested Loan Amount	Decrease	High and highly linear	Reduces payment-to-income and, where secured, LTV
Employment Length	Increase	High below 12 months; low thereafter	Proxy for income stability
Credit Grade	Improve (toward A)	Very high	Governs both threshold and pricing
Sub-grade	Improve (toward X1)	Moderate; mainly pricing	Fine-grained pricing differentiation
Credit Utilization	Decrease	High, especially above 80% or below 20%	Near-term financial stress indicator; grading input
Delinquency Recency	Age past look-back window	High once window is crossed	Recency-weighted risk indicator
Bankruptcy Recency	Age past look-back window	Very high, longest horizon in this chapter	Severity-weighted risk indicator with policy floors
Credit History Length	Increase	Low to moderate; concentrated under 2 years	Reliability check on other characteristics

Appendix B — Glossary of Terms

Compensating Factor — A characteristic recognized under Section 17.5.2 as potentially sufficient to offset a policy shortfall elsewhere in an application.

Conditional Approval — An approval contingent on satisfaction of a stated condition, where the applicant already meets standard policy once the condition is met. See Section 17.1.4.

Decision Sensitivity — The degree to which a lending decision, pricing tier, or approval

condition changes in response to a defined change in one or more borrower characteristics.

Policy Exception — An approval that departs from standard decision rules on the basis of a documented compensating factor and appropriate delegated authority. See Section 17.1.3 and Section 17.5.

Reassessment — The re-running of a complete lending decision following a change in one or more borrower characteristics, as governed by Section 17.1.6.

Sensitivity Band — A defined range of a characteristic (for example, a DTI band) within which the characteristic's effect on a decision is treated as materially similar, as distinguished from single-unit changes.

Adverse Action Notice — The formal notice issued to a declined or partially declined applicant under Chapter 13, stating the principal reasons for the decision.

Approval Authority Level — The tier of delegated authority (Senior Underwriter, Underwriting Manager, Credit Risk Officer, or Credit Risk Policy Committee) required to approve a given severity of policy departure under Section 17.5.3.

Bureau Refresh — The periodic re-pull of an applicant's or existing borrower's credit bureau data, used to update grade, sub-grade, and utilization figures under Chapters 7 and 14.

Combined Deterioration Pattern — A reassessment finding in which more than one characteristic addressed in Section 17.4 has moved unfavorably at the same time, treated with heightened escalation requirements under Section 17.7.3.

Compensating-Factor Category — One of the seven recognized categories listed in Section 17.5.2 that may support a policy exception.

Conditional Approval — See main Glossary entry above; distinguished from a Policy Exception in that the applicant already meets standard policy once the stated condition is satisfied.

Delinquency Look-Back Window — The defined period, described in Section 17.2.10 and set authoritatively in Chapter 9, after which a delinquency's weight in the grading calculation is treated as substantially diminished.

Fair Lending Self-Testing Queue — The Compliance-maintained review queue described in Section 17.6.4 to which certain declined exception recommendations are automatically routed for pattern monitoring.

Loan-to-Value (LTV) — For secured products, the ratio of the requested or outstanding loan amount to the value of the collateral securing the facility.

Materiality (of a characteristic) — The degree to which a defined change in a given characteristic, holding other characteristics constant, tends to move a lending decision, as summarized in Appendix A.

Non-Exceptionable Circumstance — A circumstance listed in Section 17.5.7 for which no compensating factor is sufficient to support an exception under this framework.

Payment-to-Income Ratio — The ratio of the scheduled payment on the requested facility alone to the applicant's verified income, distinguished from DTI, which includes all fixed obligations.

Reassessment Log — The structured record, described in Section 17.1.6 and Appendix G, documenting a manual reassessment.

Second-Line Review — The independent quarterly review performed by Credit Risk Management under Section 17.7.2, separate from first-line quality assurance performed by Underwriting Managers.

Sensitivity Band — See main Glossary entry above.

Trailing Average (income) — The rolling average income figure used for commission or gig-based applicants under Section 17.9.4, distinguished from the two-year averaging period used for self-employed applicants under Section 17.9.2.

Appendix G — Reassessment Log: Required Data Fields

The reassessment log described in Section 17.1.6 must capture, at minimum, the following structured fields for every reassessment performed. Free-text notes may supplement, but not substitute for, these fields.

Field	Description
Application ID	Unique identifier linking the reassessment to the original application record
Reassessment Date	Date the reassessment was performed
Requesting Party	Applicant-initiated, Underwriter-initiated, or Credit Risk-initiated
Characteristic(s) Changed	Selected from a standard list corresponding to Sections 17.2.2–17.2.12
Prior Value	The value of the changed characteristic(s) at the time of the original decision
Updated Value	The current, newly verified value of the changed characteristic(s)
Source of Updated Value	Document type and date used to verify the change, per Chapter 6
Prior Decision	The decision recorded on the original application
Updated Decision	The decision produced by re-running the complete application
Performing Underwriter	Identity of the staff member performing the reassessment
Reassessment Count	Running count of reassessments performed on this application within the rolling ninety-day window under Section 17.1.6

Appendix H — Exception Request and Approval Record: Required

Data Fields

The exception approval record described in Section 17.5.4 must capture, at minimum, the following structured fields.

Field	Description
Application ID	Unique identifier linking the record to the application
Policy Rule Departed From	Specific decision rule reference from Chapters 10–13
Severity of Departure	Classification per Section 17.5.3 (marginal single characteristic, material single characteristic, two characteristics, grade-based decline, or pricing tier)
Compensating Factor Category	One or more of the categories listed in Section 17.5.2
Supporting Documentation Reference	Document type, date, and verification source for each compensating factor claimed
Approving Authority	Name and title of the approver, consistent with the authority level required under Section 17.5.3
Approval Date	Date the exception was approved
Conditions or Covenants Attached	Structured entry per condition, consistent with Section 17.5.5
Written Rationale	Narrative connecting the compensating factor to the specific policy rule departed from
Second-Line Review Status	Pending, reviewed without comment, or reviewed with escalation, per Section 17.7.2

Appendix C — Reassessment and Exception Request Documentation

Reassessment requests and exception recommendations must be recorded using the standard forms maintained by the Enterprise Credit Policy & Underwriting Standards unit within the loan origination system: the **Reassessment Log** (Section 17.1.6) and the **Exception Request and Approval Record** (Section 17.5.4). Current form templates are maintained outside this chapter and are available through the loan origination system’s document library; this chapter governs their required content but does not reproduce the forms themselves.

Appendix D — Chapter Revision and Review Cycle

This chapter is reviewed on the standard EGRF annual cycle described in Chapter 1, and additionally whenever Credit Risk Management identifies a material shift in the relationship between a characteristic addressed in Section 17.2 and portfolio loss experience. Proposed amendments are brought to the Underwriting Standards Sub-

Committee for initial review before submission to the Credit Risk Policy Committee for ratification.

Appendix E — Product-Specific Sensitivity Notes

The general sensitivity bands in Section 17.2 apply across the Bank's consumer lending products, but certain characteristics carry different relative weight depending on the product. This appendix summarizes the principal product-specific adjustments Underwriters should keep in mind when applying Sections 17.2 through 17.4 to a specific application. It does not create separate policy; where this appendix and Section 17.2 appear to conflict, Section 17.2 and the relevant product-specific chapter govern.

E.1 Unsecured Personal Installment Loans

Requested loan amount and DTI are the dominant sensitivities for this product, since there is no collateral to offset an affordability shortfall. Utilization is weighted somewhat more heavily than for secured products, because an applicant already carrying high revolving utilization has, by definition, no unsecured product of this kind to fall back on if the new obligation strains their finances. Employment length sensitivity follows the general bands in Section 17.2.6 without adjustment.

E.2 Secured Auto Loans

Loan-to-value, calculated against the financed vehicle's value, moves alongside requested loan amount and is frequently the more binding constraint for this product. A reduction in requested amount that lowers LTV below the product's standard ceiling can resolve a referral even where DTI alone would not have been sufficient. Employment length is weighted slightly less heavily than for unsecured products, reflecting the Bank's lower loss-given-default on repossessable collateral.

E.3 Home Equity Lines of Credit (HELOC)

Credit history length and credit grade carry somewhat greater relative weight for this product given its longer typical draw and repayment horizon. Utilization sensitivity applies both to the applicant's existing revolving accounts (as in Section 17.2.9) and, once the facility is established, to the line itself; Chapter 14's portfolio monitoring standards govern utilization-driven line management after origination. Additional collateral as a compensating factor under Section 17.5.2(d) is generally not applicable to this product, since the collateral securing the facility is already the applicant's residence.

E.4 Credit Card Accounts

Because credit card facilities are revolving rather than fixed-payment, DTI is estimated using a standard assumed minimum payment percentage rather than an actual scheduled payment, and is therefore somewhat less precise than for installment products; Underwriters should give correspondingly greater relative weight to grade, sub-grade, and utilization for this product, consistent with Chapter 12's card-specific decision rules. Requested "loan amount" sensitivity (Section 17.2.5) does not apply in the same way, since the applicant requests a credit limit rather than a disbursed amount; limit-specific sensitivity is addressed in Chapter 12.

Appendix F — Illustrative Full-File Case Studies

The following case studies illustrate how the characteristics addressed in this chapter interact within a single, complete applicant file. They are composite, illustrative examples and do not describe any actual applicant.

Case Study 1 — Reassessment Following Amount Reduction

An applicant applies for a \$38,000 unsecured personal installment loan. Verified income is \$72,000 and existing fixed obligations total \$1,650 per month, producing a DTI of approximately 47% once the new obligation is included — three points above the applicable referral ceiling for the applicant's Grade B4. The Underwriter, applying Section 17.1.6, discusses the payment-to-income shortfall with the applicant, who elects to reduce the requested amount to \$29,000. Recalculating the complete decision, rather than only the payment figure, produces a DTI of approximately 39%, within the standard approval band for Grade B4. No other characteristic in the file changed. The file is approved as a standard decision, not a policy exception, since the applicant now meets standard policy in full; this is a conditional-approval-style resolution achieved through reassessment rather than a departure from policy.

Case Study 2 — Exception on the Basis of High Net Worth

An applicant requests a \$50,000 loan. Verified income is \$58,000, producing a DTI of 46%, four points above the standard ceiling for the applicant's Grade C2. The applicant provides verified brokerage statements showing liquid investment assets of \$410,000, well in excess of the requested amount. The Underwriter recommends an exception under the high-net-worth category in Section 17.5.2(c). Given the severity of the departure (four points above ceiling, a single characteristic outside its standard band), approval authority rests with the Underwriting Manager under Section 17.5.3. The Underwriting Manager approves the exception with a condition requiring the applicant to maintain a minimum account balance with the Bank for the life of the loan, consistent with Section 17.5.5, and documents the rationale connecting the net worth figure to the specific DTI shortfall as required by Section 17.5.4.

Case Study 3 — Deterioration Identified at Renewal

An existing line-of-credit customer, originally graded B3 at origination three years prior, is re-graded at renewal under Chapter 14's periodic refresh. Refreshed bureau data shows utilization has risen from 38% to 84% and one 60-day delinquency was reported five months ago on an unrelated account. The refreshed grade falls to D1. Consistent with Section 17.4.8, this combination of a grade decline, a utilization increase, and a recent delinquency is treated as a combined deterioration pattern. The file is referred to Credit Risk for line management review under Chapter 14; this chapter does not itself authorize a change to the existing line, and the eventual line management decision is recorded and reported under Chapter 14's standards, not this chapter's.

Case Study 4 — Self-Employed Applicant Citing a Strong Recent Year

A self-employed applicant, declined on the basis of a two-year average income of \$52,000 producing a DTI of 48%, requests reassessment citing a strong current year with year-to-date business financial statements suggesting an annualized figure near \$95,000. Consistent with Section 17.9.2, the Underwriter does not substitute the current-year figure for the two-year average; instead, once the current year's return is filed, the Underwriter recalculates the two-year average using the filed return together with the prior complete year, producing a blended average of approximately \$73,500 and a revised DTI of 34%. The file is approved as a standard decision once the filed return is available; the request is treated as pending conditional documentation in the interim, not as an immediate reassessment on the year-to-date figures alone.

Case Study 5 — Joint Reassessment with a Materially Weaker Co-Applicant

An applicant declined for insufficient income relative to a requested amount asks to reapply jointly with a co-applicant. The co-applicant's combined income resolves the affordability shortfall, producing a DTI of 32%. However, the co-applicant's own bureau file reflects a Grade D3, materially weaker than the original applicant's Grade B2. Consistent with Section 17.10.1 and Chapter 8's standard grading rule for joint applications, the facility is priced to the lower of the two grades. The Underwriter confirms with both applicants, before proceeding, that the resulting pricing reflects the combined file and is not the pricing either applicant would have received individually, consistent with the disclosure standards in Chapter 11.

Case Study 6 — Non-Exceptionable Circumstance

An applicant otherwise well within standard policy discloses, during verification, an active and undischarged bankruptcy proceeding filed the previous month. Despite a Grade B2 rating on file predating the bankruptcy filing, Section 17.5.7 identifies an active, undischarged bankruptcy as non-exceptionable under this framework. The Underwriter declines the application under standard policy and does not route the file for exception consideration; the matter is documented as a standard decline, and the applicant is advised, consistent with Section 17.2.11, of the general discharge and clean-record timelines that would apply to a future application once the proceeding concludes.

— End of Chapter 17 —

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